Choosing a PAY Rule™ and Spending Strategy

The analysis thus far has been based on one manifestation of the PAY Rule (allow a 10 percent chance that real wealth falls below 15 percent of its initial level by year thirty of retirement) and one asset allocation (50/50 portfolio of stocks and bonds). We have not yet delved into the more complex and personalized issue of how to choose a PAY Rule and asset allocation. I will try to provide more guidance on this topic in this final section. I would describe the scenario I've used thus far as a moderate choice for retirees. To give a more complete overview, I will add exhibits providing guidance for more conservative and aggressive retirees as well.

A natural guideline for the retirement spending decision is to first determine what spending rate would satisfy your overall lifestyle goals. Beyond this, it is important to consider the following:

1. Your degree of spending flexibility to make cuts if necessary,
2. Your general view about whether your spending may need to keep pace with overall consumer price inflation, and
3. Whether you want to maintain a safety margin for assets.

Armed with this information, you can then consider the broad range of variable spending strategies and choose the one that seems to best match your goals and manage your risks. My research in this area seeks to develop a framework to help with the decision-making process.

How should a retiree choose a spending method and parameterize the initial spending rate? I have provided a framework to think about the important issues, such as spending flexibility, feelings about upside spending growth versus downside spending risks, the possibility of a minimum spending threshold to be protected, the desired direction of spending (for instance, whether to decrease spending over time), the appropriate planning horizon, and any legacy goals.

A broader set of issues to consider when deciding on a withdrawal rate and asset allocation relate to a Retirement CARE Analysis. Answers to the